DTB DIAMOND TRUST BANK

Achieve More

The Board of Directors of Diamond Trust Bank Kenya Limited is pleased to announce the unaudited Group and Bank results for the six months period ended 30 June 2023.

STATEMENT OF FINANCIAL POSITION

	GROUP				BANK			
	Jun. 2023 Shs 000 Unaudited	Mar. 2023 Shs 000 Unaudited	Dec. 2022 Shs 000 Audited	Jun. 2022 Shs 000 Unaudited	Jun. 2023 Shs 000 Unaudited	Mar. 2023 Shs 000 Unaudited	Dec. 2022 Shs 000 Audited	Jun. 2022 Shs 000 Unaudited
ASSETS								
Cash (both local and foreign)	9,211,590	9,123,211	9,610,935	7,341,000	5,054,127	4,514,712	5,116,888	4,138,393
Balances due from Central Banks	23,885,669	32,485,588	27,381,187	27,782,113	9,601,553	15,129,307	10,686,309	11,202,088
Kenya Government and other securities held for dealing purposes	-	-	509,115	1,670,504	-	-	509,115	1,670,504
Investment Securities:								
(a) Held to Maturity:								
a. Kenya Government securities	73,923,466	71,088,925	73,529,470	79,050,489	73,923,466	71,088,925	73,529,470	79,050,489
b. Other securities	64,861,975	56,049,014	39,557,546	32,055,184	-	-	-	-
(b) At Fair Value:								
a. Kenya Government securities	62,165,344	60,545,575	59,655,225	49,903,000	62,165,344	60,545,575	59,655,225	49,903,000
b. Other securities	10,633,223	9,644,853	15,081,978	11,997,412	50,000	50,000	50,000	1,339,691
Deposits and balances due from local banking institutions	1,083,145	77,166	75,225	59,487	1,083,145	77,166	75,225	59,487
Deposits and balances due from banking institutions abroad	19,042,030	13,915,723	19,377,907	13,936,442	6,298,292	4,931,793	8,314,603	4,169,841
Income tax recoverable	1,724,575	87,291	156,874	1,335,805	1,300,811	-	138,388	995,884
Loans and advances to customers (net)	281,165,112	270,368,769	253,674,906	233,621,787	196,628,624	188,685,989	177,757,616	169,124,853
Balances due from group companies	-	-	-	-	-	-	-	-
Investments in associate	65,529	21,079	70,453	18,719	1	1	1	1
Investment in subsidiary companies	-	-	-	-	5,752,701	5,752,701	5,752,701	5,752,701
Investments in joint ventures	-	-	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-	-	-
Property and equipment	6,989,009	6,483,625	6,221,764	6,116,683	3,942,215	3,745,399	3,762,662	3,524,443
Right of use assets	5,085,679	5,176,801	5,107,693	4,534,462	3,260,958	3,299,516	3,268,111	2,970,068
Intangible assets	843,935	811,123	919,193	781,208	512,964	471,633	476,891	454,503
Goodwill	173,372	173,372	173,372	173,372	-	-	-	-
Deferred tax asset	12,924,470	12,358,034	11,945,520	9,402,857	8,195,082	8,205,242	8,205,242	6,449,795
Retirement benefit asset	-	-	-	-	-	-	-	-
Other assets	5,440,666	4,891,578	3,934,906	5,260,061	1,701,001	1,992,856	1,971,439	3,568,537
Total Assets	579,218,789	553,301,727	526,983,269	485,040,585	379,470,284	368,490,815	359,269,886	344,374,278
LIABILITIES								
Balances due to Central Bank of Kenya	3,992,937	-	-	-	3,992,937	-	-	-
Customer deposits	417,990,648	404,632,388	387,562,471	346,492,243	251,714,354	254,668,587	250,592,898	235,462,586
Deposits and balances due to local banking institutions	31,543,166	22,391,724	18,821,857	17,602,471	31,543,166	22,391,724	18,821,857	17,602,471
Deposits and balances due to banking institutions abroad	11,007,885	7,933,753	7,857,089	10,203,318	7,465,435	1,343,584	3,391,930	3,246,386
Other money market deposits	-	-	-	-	-	-	-	-
Borrowed funds	23,155,926	25,732,227	25,512,526	23,395,768	22,388,345	25,007,626	24,699,186	22,514,630
Lease liability	4,403,691	4,465,082	4,303,857	4,126,401	2,679,022	2,705,843	2,552,003	2,299,647
Tax payable	48,521	762,668	66,329	53,965	-	-	-	-
Dividends payable	-	-	-	-	-	729,834	-	-
Deferred income tax liability	-	-	-	13,665	-	-	-	-
Retirement benefit liability	-	-	-	-	-	-	-	-
Other liabilities	4,446,501	4,842,156	5,197,438	6,546,038	2,856,382	3,273,613	2,934,930	5,098,296
Total Liabilities	496,589,275	470,759,998	449,321,567	408,433,869	322,639,641	310,120,811	302,992,804	286,224,016
SHAREHOLDERS' EQUITY								
Paid up capital	1,118,409	1,118,409	1,118,409	1,118,409	1,118,409	1,118,409	1,118,409	1,118,409
Share premium	9,006,569	9,006,569	9,006,569	9,006,569	9,006,569	9,006,569	9,006,569	9,006,569
Revaluation reserve	(1,119,025)	(368,092)	(2,004,468)	443,525	(4,979,095)	(3,582,050)	(3,777,516)	(95,213)
Retained earnings	62,851,420	61,107,800	58,900,970	58,215,994	51,684,760	50,429,065	48,531,609	48,120,497
Statutory loan loss reserve	584,001	680,768	542,996	103,760	-	-	-	-
Proposed dividends	-	1,398,011	1,398,011	-	-	1,398,011	1,398,011	-
Capital grants	-	-	-	-	-	-	-	-
Total Shareholders' Equity	72,441,374	72,943,465	68,962,487	68,888,257	56,830,643	58,370,004	56,277,082	58,150,262
Non controlling interests	10,188,140	9,598,264	8,699,215	7,718,459	-	-	-	-
Total Equity	82,629,514	82,541,729	77,661,702	76,606,716	56,830,643	58,370,004	56,277,082	58,150,262
Total Liabilities and Shareholders' Equity	579,218,789	553,301,727	526,983,269	485,040,585	379,470,284	368,490,815	359,269,886	344,374,278

STATEMENT OF COMPREHENSIVE INCOME

	GROUP				BANK			
	Jun. 2023 Shs 000 Unaudited	Mar. 2023 Shs 000 Unaudited	Dec. 2022 Shs 000 Audited	Jun. 2022 Shs 000 Unaudited	Jun. 2023 Shs 000 Unaudited	Mar. 2023 Shs 000 Unaudited	Dec. 2022 Shs 000 Audited	Jun. 2022 Shs 000 Unaudited
INTEREST INCOME								
Loans and advances	13,164,204	6,430,523	21,070,891	9,854,991	8,862,526	4,349,999	14,091,521	6,605,382
Government securities	11,488,083	5,636,105	18,692,325	8,827,057	7,554,626	3,749,918	13,546,387	6,415,930
Deposits and placements with banking institutions	236,508	125,782	303,671	113,064	73,192	54,468	54,887	1,926
Other interest income	-	-	-	-	-	-	-	-
Total interest income	24,888,795	12,192,410	40,066,887	18,795,112	16,490,344	8,154,385	27,692,795	13,023,238
INTEREST EXPENSES								
Customer deposits	9,404,402	4,497,608	14,636,005	6,799,126	6,458,168	3,172,074	11,239,814	5,311,786
Deposits and placements from banking institutions	1,154,633	412,073	1,051,438	318,712	954,894	303,893	780,032	179,610
Other interest expenses	1,224,219	603,195	1,492,347	547,541	1,130,070	556,571	1,301,198	453,496
Total interest expenses	11,783,254	5,512,876	17,179,790	7,665,379	8,543,132	4,032,538	13,321,044	5,944,892
NET INTEREST INCOME	13,105,541	6,679,534	22,887,097	11,129,733	7,947,212	4,121,847	14,371,751	7,078,346
OTHER OPERATING INCOME								
Fees and commissions on loans and advances	981,097	398,345	1,684,793	617,784	729,432	275,765	1,245,073	422,409
Other fees and commissions income	1,425,960	701,902	2,580,423	1,142,525	642,009	324,325	919,065	463,191
Foreign exchange trading income	2,754,741	1,469,453	4,304,957	1,914,897	2,055,812	1,103,679	3,368,585	1,456,940
Dividend income	-	-	-	-	-	-	150,000	-
Other income	387,975	241,456	482,649	227,979	59,311	32,496	87,709	30,740
Total Non-Interest Income	5,549,773	2,811,156	9,052,822	3,903,185	3,486,564	1,736,265	5,770,432	2,373,280
TOTAL OPERATING INCOME	18,655,314	9,490,690	31,939,919	15,032,918	11,433,776	5,858,112	20,142,183	9,451,626
OPERATING EXPENSES								
Loan loss provision	3,258,363	1,366,104	7,141,776	2,431,829	1,923,110	833,911	4,989,763	1,562,667
Staff costs	4,067,064	2,001,927	6,142,788	2,883,772	2,411,362	1,180,282	3,550,484	1,695,556
Directors' emoluments	115,368	55,155	236,594	115,654	73,668	37,244	145,996	73,606
Rentals charges	254,912	119,794	456,477	217,413	76,613	37,279	154,988	82,161
Depreciation charge on property and equipment	832,463	427,179	1,447,240	608,221	349,956	170,302	644,254	302,603
Amortisation charges	181,133	89,013	352,580	163,838	102,258	50,478	176,407	79,722
Other operating expenses	3,992,618	1,796,443	6,304,584	2,949,772	1,914,865	796,951	3,576,519	1,535,277
Total operating expenses	12,701,921	5,855,615	22,082,039	9,370,499	6,851,832	3,106,447	13,238,411	5,331,592
Profit before tax and exceptional items	5,953,393	3,635,075	9,857,880	5,662,419	4,581,944	2,751,665	6,903,772	4,120,034
Exceptional items	-	-	-	-	-	-	-	-
Profit after exceptional items	5,953,393	3,635,075	9,857,880	5,662,419	4,581,944	2,751,665	6,903,772	4,120,034
Share of associate profit after tax	12,542	3,217	16,963	10,235	-	-	-	-
Gain/(loss) on modified assets	51,211	7,920	(349,910)	(53,503)	36,026	18,343	(313,326)	(36,571)
PROFIT BEFORE TAX	6,017,146	3,646,212	9,524,933	5,619,151	4,617,970	2,770,008	6,590,446	4,083,463
Current tax	(1,976,609)	(1,070,333)	(5,671,332)	(1,824,241)	(1,454,661)	(872,553)	(3,981,647)	(1,347,543)
Deferred tax charge	317,594	69,837	2,940,277	161,530	(10,159)	-	1,910,395	-
Profit after tax and exceptional items	4,358,131	2,645,716	6,793,878	3,956,440	3,153,150	1,897,455	4,519,194	2,735,920
Non controlling interests	356,207	227,821	732,861	371,924	-	-	-	-
Profit for the period after tax and non controlling interests	4,001,924	2,417,895	6,061,017	3,584,516	3,153,150	1,897,455	4,519,194	2,735,920
OTHER COMPREHENSIVE INCOME								
Gain from translating the financial statements of foreign operations	2,557,745	1,647,982	1,610,626	199,546	-	-	-	-
Gain on revaluation of land and buildings	-	-	95,186	-	-	-	-	-
Net (loss)/gain from changes in fair value of Government Securities	(270,827)	753,842	(2,780,733)	(1,241,680)	(1,201,579)	195,466	(3,526,050)	(1,314,234)
Net gain from changes in fair value of equity investments	-	-	(1,289,691)	-	-	-	(1,289,691)	-
Income tax relating to these items	(279,226)	(167,513)	(431,490)	(21,766)	-	-	-	-
Other comprehensive income for the period net of tax	2,007,692	2,234,311	(2,796,102)	(1,063,900)	(1,201,579)	195,466	(4,815,741)	(1,314,234)
Total comprehensive income for the period	6,365,823	4,880,027	3,997,776	2,892,540	1,951,571	2,092,921	(296,547)	1,421,686
Earnings per Share (Shs per share) - basic and diluted	14.31	8.65	21.68	12.82	11.28	6.79	16.16	9.79
Dividend per Share (Shs per share)	-	-	5.00	-	-	-	5.00	-

OTHER DISCLOSURES

	GROUP				BANK			
(1) NON -PERFORMING LOANS AND ADVANCES								
(a) Gross non-performing loans and advances	36,549,170	35,112,130	32,230,341	31,773,704	30,255,762	29,006,037	28,167,392	29,178,481
(b) Interest in suspense	1,346,991	1,328,700	1,199,151	1,729,219	1,257,901	1,162,529	1,072,885	1,584,836
(c) Total non-performing loans and advances (a-b)	35,202,179	33,783,430	31,031,190	30,044,485	28,997,861	27,843,508	27,094,507	27,593,645
(d) Loan loss provisions	15,613,371	14,771,245	13,716,759	12,326,771	13,335,725	12,393,441	12,225,798	10,869,122
(e) Net non-performing loans (c-d)	19,588,808	19,012,185	17,314,431	17,717,714	15,662,136	15,450,067	14,868,709	16,724,523
(f) Discounted value of securities	19,588,808	19,012,185	17,314,431	17,717,714	15,033,466	15,063,560	14,868,709	16,724,523
(g) Net NPLs exposure (e-f)	-	-	-	-	628,670	386,507	-	-
(2) INSIDER LOANS AND ADVANCES								
(a) Directors, shareholders and associates	3,499,446	3,771,584	3,533,808	3,231,998	2,675,901	2,413,270	2,261,141	2,291,921
(b) Employees	1,692,394	1,893,634	2,134,085	1,714,360	1,656,816	1,673,770	1,615,114	1,547,975
(c) Total insider loans and advances	5,191,840	5,665,218	5,667,893	4,946,358	4,332,717	4,087,040	3,876,255	3,839,896
(3) OFF-BALANCE SHEET ITEMS								
(a) Letters of credit, guarantees, acceptances	38,602,497	35,132,520	28,034,231	35,115,643	24,953,178	23,302,002	18,671,258	24,449,499
(b) Forwards, swaps, and options	13,808,360	16,305,947	16,433,914	25,178,650	8,308,130	10,459,595	12,661,618	23,459,620
(c) Other contingent liabilities	-	-	-	-	-	-	-	-
(d) Total contingent liabilities	52,410,857	51,438,467	44,468,145	60,294,293	33,261,308	33,761,597	31,332,876	47,909,119
(4) CAPITAL STRENGTH								
(a) Core capital					54,501,293	53,874,448	52,984,880	51,202,493
(b) Minimum statutory capital					1,000,000	1,000,000	1,000,000	1,000,000
(c) Excess/(deficiency)					53,501,293	52,874,448	51,984,880	50,202,493
(d) Supplementary capital					2,248,814	2,313,356	2,349,408	2,868,925
(e) Total capital (a+d)					56,750,107	56,187,804	55,334,288	54,071,418
(f) Total risk weighted assets					293,893,374	278,732,393	267,006,899	255,532,401
(g) Core capital/total deposit liabilities					21.6%	21.1%	21.1%	21.7%
(h) Minimum statutory ratio					8.0%	8.0%	8.0%	8.0%
(i) Excess/(deficiency) (g-h)					13.6%	13.1%	13.1%	13.7%
(j) Core capital/total risk weighted assets					18.5%	19.3%	19.8%	20.0%
(k) Minimum statutory ratio					10.5%	10.5%	10.5%	10.5%
(l) Excess/(deficiency) (j-k)					8.0%	8.8%	9.3%	9.5%
(m) Total capital/total risk weighted assets					19.3%	20.2%	20.7%	21.2%
(n) Minimum statutory ratio					14.5%	14.5%	14.5%	14.5%
(o) Excess/(deficiency) (m-n)					4.8%	5.7%	6.2%	6.7%
(5) LIQUIDITY								
(a) Liquidity ratio					52.2%	56.2%	58.2%	58.9%
(b) Minimum statutory ratio					20.0%	20.0%	20.0%	20.0%
(c) Excess/(deficiency) (a-b)					32.2%	36.2%	38.2%	38.9%

SUMMARY CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Kshs '000	Share Premium Kshs '000	Revenue and other reserves Kshs '000	Proposed dividends Kshs '000	Total Shareholders' funds Kshs '000	Non controlling interests Kshs '000	Total Kshs '000
At 1 January 2023	1,118,409	9,006,569	57,439,498	1,398,011	68,962,487	8,699,215	77,661,702
Profit for the year	-	-	4,001,924	-	4,001,924	356,207	4,358,131
Other comprehensive income net of tax	-	-	874,974	-	874,974	1,132,718	2,007,692
Final dividend approved for 2022	-	-	-	(1,398,011)	(1,398,011)	-	(1,398,011)
At 30 June 2023	1,118,409	9,006,569	62,316,396	-	72,441,374	10,188,140	82,629,514

SUMMARY CONSOLIDATED STATEMENT OF CASH FLOWS

	30 Jun. 2023 Un-audited Kshs '000	31 Dec. 2022 Audited Kshs '000	30 Jun. 2022 Un-audited Kshs '000
Cash flows generated from operating activities	4,082,269	(3,272,484)	(8,111,908)
Cash flows used in investing activities	(1,141,655)	(2,294,958)	(1,176,338)
Cash flows (used in)/generated from financing activities	(3,281,069)	2,061,005	2,631,344
Net decrease in cash and cash equivalents	(340,455)	(3,506,437)	(6,656,902)
Cash and cash equivalents as at 1 January	9,267,831	12,774,268	16,492,796
Cash and cash equivalents at end of the period	8,927,376	9,267,831	9,835,894

MESSAGE FROM DIRECTORS

These financial statements are extracts from the books of the institution. These quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.dtbafrica.com. They may also be accessed at the institution's head office located at DTB Centre, Mombasa Road, Nairobi, Kenya.

INTERIM DIVIDENDS

In line with the practice adopted in recent years, the directors do not propose the payment of an interim dividend.

Linus Gitahi
CHAIRMAN

Nasim Devji
MANAGING DIRECTOR